

Credit Access in the United States

THE OPPORTUNITY INSIGHTS TEAM



Differences in credit access by race, class, and place emerge early and persist throughout adulthood. These gaps have substantial impacts on opportunity and reflect not just disparities in income or wealth, but the lasting influence of childhood environments.

Access to credit can be a powerful tool for economic opportunity—helping people buy homes, start businesses, or manage unexpected expenses. While credit is meant to support all individuals, and can be particularly useful for improving opportunity for those from disadvantaged backgrounds, prior research has shown access varies across groups.

In a new study, ([Bakker, DeLuca, English, Fogel, Hendren, Herbst](#)), we assemble a new, large-scale anonymized dataset that links credit bureau records with U.S. Census and tax data for a representative sample of over 25 million Americans¹. This integrated dataset provides a rare opportunity to study credit access using a truly representative sample of Americans—spanning different generations, income levels, racial backgrounds, and regions—with a level of detail not seen in prior research.

We document significant differences in credit outcomes by race, class, and geography. In particular, Black Americans, individuals from low-income families, and those who grew up in Appalachia or parts of the South are more likely to have lower credit scores and more limited access to credit. These gaps emerge early, persist into adulthood, and remain stable through age 65.

Credit score differences reflect real variation in repayment across groups. For example, between 2016 and 2020, 69% of Black 25-year-olds were 90+ days delinquent, compared to 31% of white peers. These patterns are not fully explained by differences in income or wealth. Rather, we find that early-life environments—such as neighborhoods and communities where people grow up—play a powerful role in shaping financial behavior and on-time repayment later in life.

These findings suggest that adult credit access is shaped in childhood, as credit scores established by one's mid-twenties—and the associated differences by race, class, and geography—persist throughout adulthood. Addressing credit gaps requires investing in communities well before children and young adults enter the credit system, as well as addressing structural factors that influence borrowing and repayment behaviors early in life.

KEY FINDINGS

- **Credit score gaps emerge early, persist throughout adulthood, and broadly reflect repayment gaps.** By age 25, scores differ by up to 140 points by race, 110 by class, and 100+ by geography. At the same age, 69% of Black and 60% of low-income individuals have fallen 90+ days behind—vs. 31% of white and 15% of high-income individuals.
- **Credit scores understate true repayment gaps.** At a 650 score, 61% of Black and 55% of low-income borrowers fall 90+ days delinquent—vs. 45% of white, 42% of high-income, and 40% of Asian borrowers.
- **Even with perfect repayment, credit scores are lower for certain groups.** Black borrowers score 15 points lower than white peers with perfect repayment; low-income borrowers score 10 points below high-income peers.
- **Repayment gaps persist despite similar financial profiles.** Differences by race, class, and place remain even among individuals with the same income, wealth, marital status, job stability, and employer.
- **Childhood environment and influences shape adult credit behavior.** Each year a child spends in places where people tend to repay their loans increases their own likelihood of repayment. Across places, repayment rates are highly correlated with cross-class friendship.

[Explore Credit Outcomes in the Opportunity Atlas](#) ↗

FINDING 1

Credit score gaps emerge early, persist throughout adulthood, and broadly reflect repayment gaps

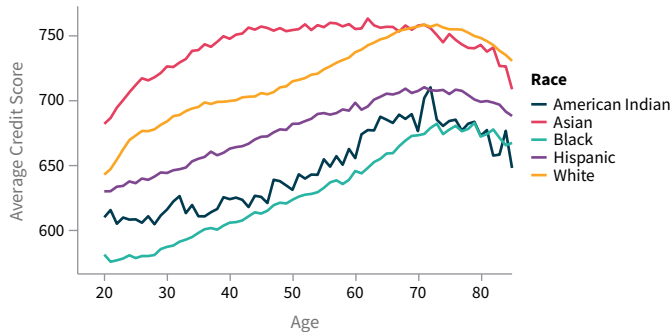
By age 25, large differences in credit scores are evident across racial, socioeconomic, and geographic lines. The average credit score for Black individuals is approximately 100 points lower than it is for white individuals, and 140 points lower than it is for Asian individuals (Figure 1). Individuals from low-income families (bottom 20% of the parental income distribution) have an average credit score of 615, compared to 725 for those from high-income families (top 20%) (Figure 2). Geographic differences are similarly pronounced: among the 100 largest U.S. counties, average credit scores range from 724 in Bergen County, NJ to 627 in Baltimore City, MD—a 97-point gap (Figure 3).

These differences in credit are not short-lived. As shown in Figures 1 and 2, credit score gaps that appear by age 25 remain remarkably stable throughout adulthood. For example, the average credit score

gap between Black and white individuals is 97 points at age 30 and 92 points at age 60. Similar patterns hold across income groups and geographic regions, underscoring the long-term persistence of these differences.

Credit scores are designed to predict a borrower's risk of non-repayment using information from their credit history—such as past loan repayment behavior—but do not include data on race, class, geography, or income. Despite this, we find large differences in actual repayment outcomes by race, class, and childhood geography. By age 25, 69% of Black individuals have at least one 90+ day delinquency on their credit report, compared to 45% of Hispanic, 31% of white, and 16% of Asian individuals. Similarly, 60% of individuals from the bottom parental income quintile have a 90+ day delinquency, versus just 15% from the top quintile (Figure 4). Most often, these late payments occur on credit cards, student loans, and other bills (e.g. phone bills) sent to collections.

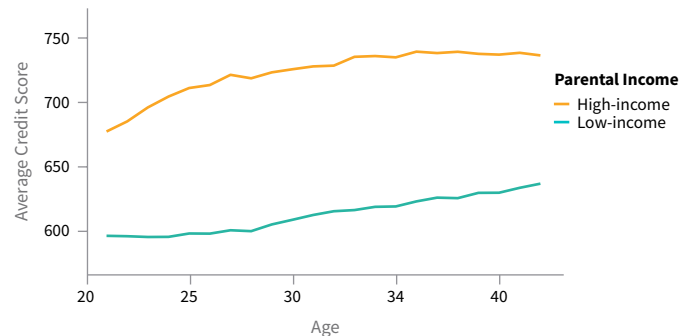
FIGURE 1: Racial Gaps in Credit Scores Emerge Early and Persist Throughout Adulthood



This figure shows average credit score (Vantage 4.0) by age and race throughout one's life. Credit score and age are measured in 2020.

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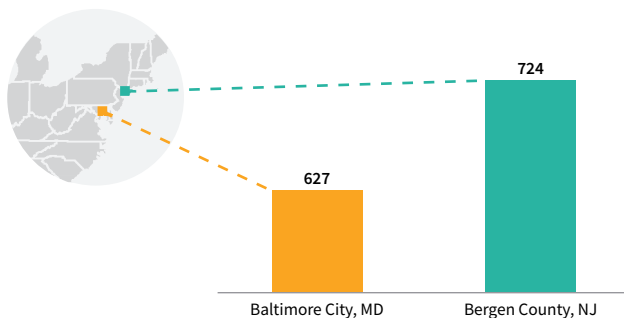
FIGURE 2: Class Gaps in Credit Scores Emerge Early and Persist Throughout Adulthood



This figure shows average credit score by the borrower's parental income throughout adulthood. High-income refers to individuals whose parents earned in the top quintile of the income distribution, and low-income refers to those whose parents earned in the bottom quintile. Credit score and age are measured in 2020.

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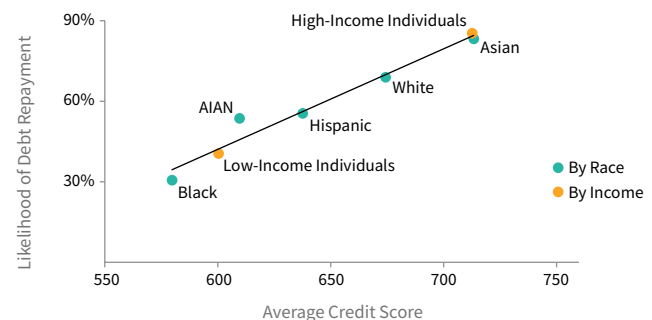
FIGURE 3: Pronounced Geographical Differences in Credit Scores



This figure shows the average credit score in Baltimore City, MD and Bergen County, NJ, which are the counties where individuals have the lowest and highest average scores across the 100 most populous counties in the U.S., respectively. To see data on every county in the U.S., visit the [Opportunity Atlas](#) or view a set of rankings in table III of the [full paper](#).

[Download Figure](#)

FIGURE 4: Credit Score and Repayment Outcomes are Tightly Linked with Large Differences Across Groups



This figure shows the relationship between average credit score for individuals from different races and parental income levels and their likelihood of debt repayment at age 25.

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FINDING 2

Credit scores understate true repayment gaps

While differences in credit scores by race, class, and place align with patterns of non-repayment, they actually understate true differences in repayment risk (Figure 5). Among borrowers with the same credit score of 650, we find:

- **Differences by race:** 61% of Black borrowers fall 90+ days delinquent within four years, compared to 47% of white and 40% of Asian borrowers.
- **Differences by class:** 55% of borrowers from low-income families fall 90+ days delinquent within four years, versus 42% from high-income families.

These results indicate that if credit scores were made more predictive—by incorporating more information—they would likely widen, not narrow, existing gaps by race and class.

FINDING 3

Even with perfect repayment, credit scores are lower for certain groups

Among borrowers with perfect past and future repayment, Black individuals still receive credit scores that are, on average, 15 points lower than white individuals in adulthood (Figure 6). At age 30, those from the bottom parental income quintile receive scores 10 points lower than those from the top quintile even with perfect repayment histories. These disparities mean that Black and Hispanic borrowers as well as those from lower-income families, receive worse credit scores and worse credit terms, such as higher interest rates or lower credit limits, even when they have shown reliable repayment patterns.

FINDING 4

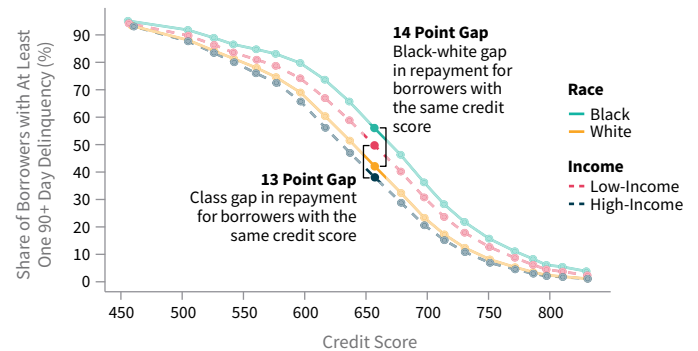
Repayment gaps persist despite similar financial profiles

Having a higher income or more savings generally helps with repayment, but these financial advantages do not fully explain why repayment struggles are more common among certain racial and class groups. Even among borrowers with similar finances, large gaps remain—for example, Black borrowers are still 20 percentage points more likely to fall behind than white peers with the same income (Figure 7).

- **Savings do not close the repayment gap.** Adding information on retirement savings and home equity does not reduce the repayment gap. The difference in repayment rates remains nearly unchanged.
- **Stable employment and income does not close the gap.** Even among people with steady jobs at the same employer and stable income over many years, repayment gaps by race and class still persist.
- **Financial history over time does not close the gap.** Even after factoring in nearly two decades of income data, along with savings, home equity, and liquid assets, the repayment gap remains large.

These findings show that repayment gaps are not just about income or job stability. They point to deeper, structural forces—like unequal access to credit-building opportunities, differences in social networks and financial support, early financial disadvantages, or the lack of financial safety nets—that shape who struggles with debt, even when everything else looks the same on paper.

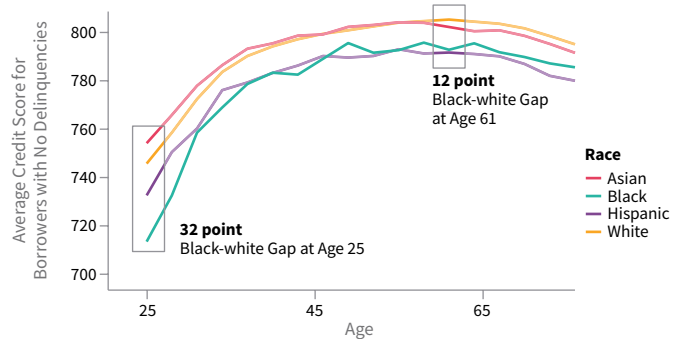
FIGURE 5: Differences in Credit Scores Understate Differences in Subsequent Repayment Across Race, Class



This figure shows the percentage of borrowers who had at least one 90+ day delinquency between 2016 and 2020 by credit score (measured in 2016) and race. The gaps in repayment by race indicate that credit score does not accurately predict repayment across groups.

[Download Figure](#)

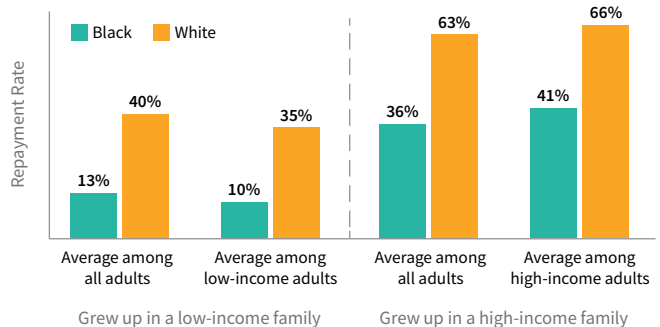
FIGURE 6: Black and Hispanic Borrowers Receive Lower Credit Scores Even When They Have the Same Repayment Behavior



This figure shows average credit score by age and race throughout one's life for borrowers who have no delinquencies on record. Credit score and age are measured in 2012.

[Download Figure](#)

FIGURE 7: Even Among Adults with Comparable Incomes, Racial Differences in Loan Repayments are Stark



This figure shows the gap in repayment by race and parental income. The differences in repayment rates between Black and white borrowers persist even when controlling for income in adulthood.

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FINDING 5

Childhood environment and influences shape adult credit behavior

Credit behavior is deeply influenced by early life experiences. The data show that both family background and neighborhood environment play a powerful role in shaping whether people repay their loans and how they are scored.

A parent's credit score is one of the strongest predictors of a child's future repayment behavior. For example, moving from the bottom to the top of the parent credit score distribution is associated with a 50 percentage point decrease in the likelihood that a child will fall 90+ days behind on a loan repayment in early adulthood—even after accounting for the child's own income and financial situation.

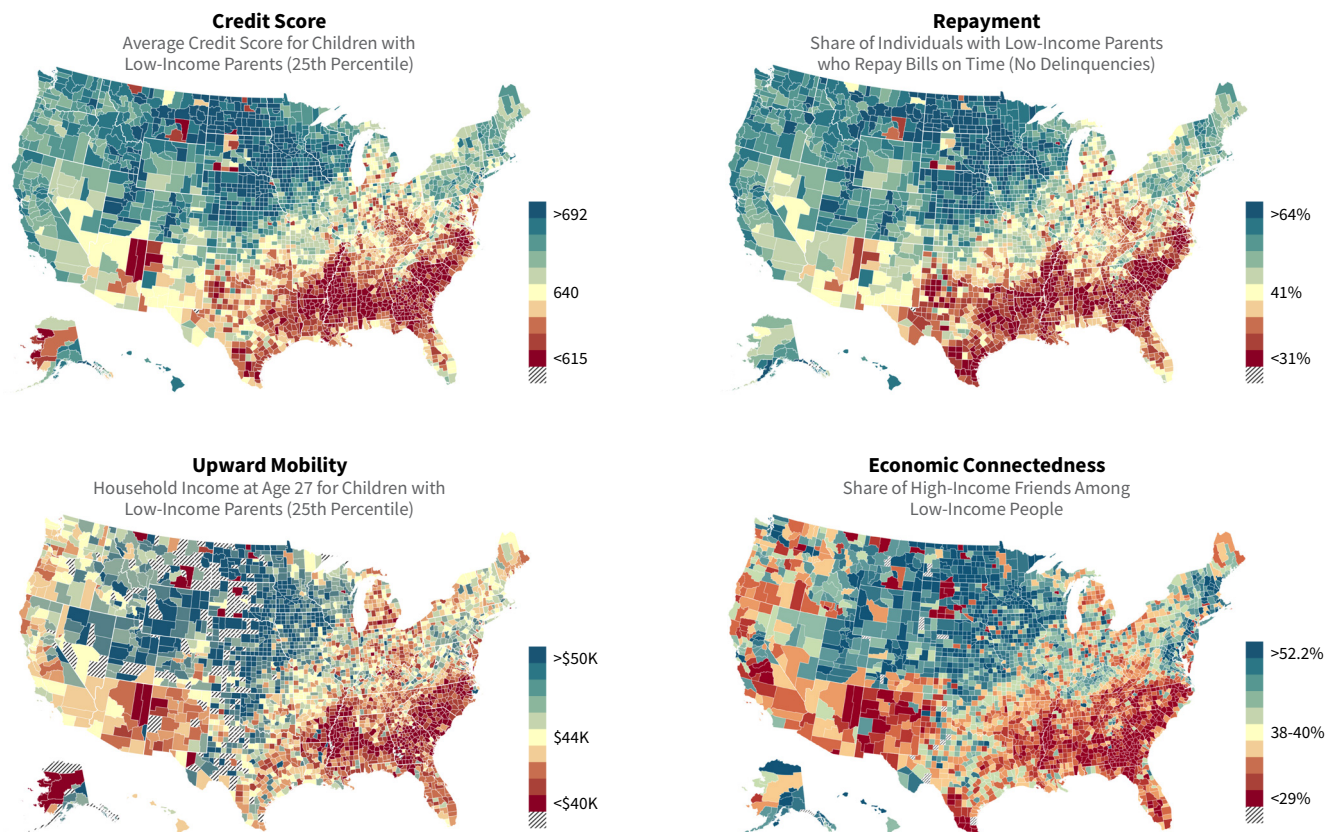
Where a child grows up also matters. Children who spend more time in areas where others tend to repay loans are more likely to do the same as adults. Using the place examples from Figure 3, each additional year spent in Bergen County, NJ—a high-repayment area—rather than Baltimore City, MD—a low-repayment area—increases a child's likelihood of repaying loans by 0.4 percentage points. Over a full childhood, that adds up to roughly a 10-point boost in repayment likelihood². These effects reflect the impact of broader social and institutional environments on credit outcomes.

As illustrated in Figure 8, we find that the same places that foster upward mobility—neighborhoods with greater opportunity—are also those where higher credit scores and higher repayment behavior are observed. For example, places with greater economic connectedness (the share of cross-class friendships) are the same places as those with higher rates of loan repayment. Such connections could directly improve repayment if those friends provide resources in times of need. In contrast, when financial shocks hit people in communities with lower access to credit, they are more likely to face them alone—and to rely on high-cost alternatives like payday loans or pawn shops. These products carry steep fees and interest, making it harder to build or repair credit over time.

The combined facts that childhood exposure drives our results and many of the differences we observe have historical roots in institutional inequities suggest that the development of credit behavior is shaped by a gradual, long-term process. Individuals may learn how to navigate complicated financial decisions from the environment around them, shaped in part by a history of fewer lending institutions, which in turn generates persistence in differences over time.

Together, these findings suggest that improving credit outcomes requires investing in the environments and systems that shape financial behavior from the very beginning of one's life.

FIGURE 8: National Maps for Credit Score, Repayment, Upward Mobility, Economic Connectedness



These maps show how places with higher credit scores and likelihood of loan repayment are also places that produce greater upward mobility and have higher levels of cross-class friendships. Shading indicates credit scores, likelihood of repayment, rates of upward mobility ([Chetty, Hendren, Friedman, Jones, Porter](#)), and economic connectedness ([Chetty, Jackson, Kuchler, Stroebelet al.](#)), with red representing lower and blue representing higher outcomes across each measure.

[Download Figure](#)

Conclusion

This research uncovers wide differences in access to affordable credit by race, class, and childhood environment. White individuals, those from high-income backgrounds, and those who grew up in the upper Midwest, New England, and Western areas of the U.S. have significantly greater access to credit. These differences emerge early in one's life, with restrictions in access to credit generally driven by early-life delinquencies, most often on credit cards, student loans, and other bills.

Our results suggest that meaningful progress in expanding access to affordable credit depends on addressing the environments and structures that shape financial behavior from the start. This includes investing in communities where opportunity has historically been limited, and focusing these investments to help youth and young adults from disadvantaged backgrounds avoid a cycle of restricted access to credit and engagement with high-cost alternative forms of credit, such as payday loans.

NEW DATA ON CREDIT OUTCOMES NOW AVAILABLE IN THE OPPORTUNITY ATLAS

Explore how credit outcomes vary at the county level by parent income, race, and gender.

[Explore the data](#) ↗

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¹ This study uses two main data samples. The first is a 1% random sample of U.S. residents, and the second focuses on people born between 1978 and 1985, linked to their parents. Together, these samples include over 25 million individuals.

² Bergen County, NJ and Baltimore City, MD are used as examples because they have the highest and lowest average credit scores among the 100 largest U.S. counties. To estimate the effect of moving from Baltimore to Bergen, we multiply 0.441 by 23 years—the point at which place-based effects fade—yielding an estimated impact of 10.14 percentage points (rounded to 10). While specific values will vary, similar patterns hold for moves between other low- and high-repayment areas.



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